Measure rule, targets. Use the measure rule to predict a target price. Having a target to aim at may allow you to get out near the peak. If price nears the target, evaluate the situation. Will price continue moving higher, or is there a larger likelihood of a drop?

To find the price target, compute the height of the pattern by subtracting the lowest low in the bottom from the highest high between the two bottoms. Add the result to the highest high to get the price target.

For example, Figure 29.6 shows an Eve & Eve double bottom. The lowest low in the pattern is the left bottom at 14.27. The highest high is 18.39 (the breakout or confirmation price). Add the difference, 4.12, to the highest high to get a target of 22.51. In this example, price rose to only 20 before dropping.

You can use Table 29.3 to check the probability of your stock reaching the target. In this example, a move of 4.12 from the launch point of 18.39 means a 22% rise. If we ignore that the double bottom shown occurs in a bear market, Table 29.3 says that 39% of Eve & Eve double bottoms will fail to see price rise more than 20%. It's probably more like 41% will fail to see a 22% rise. It also means 59% or so will succeed. The trade has a lot of risk, and it's up to you to decide whether to take that risk.